UNSW THE UNIVERSITY OF NEW SOUTH WALES SYDNEY · CANBERRA · AUSTRALIA | Law

2026 – LAWS1150 | JURD 7150
Principles of Private Law

Agreement: Acceptance

Week 1B

An essential first step is to clearly and correctly identify the terms of the offer and acceptance.

Today's class

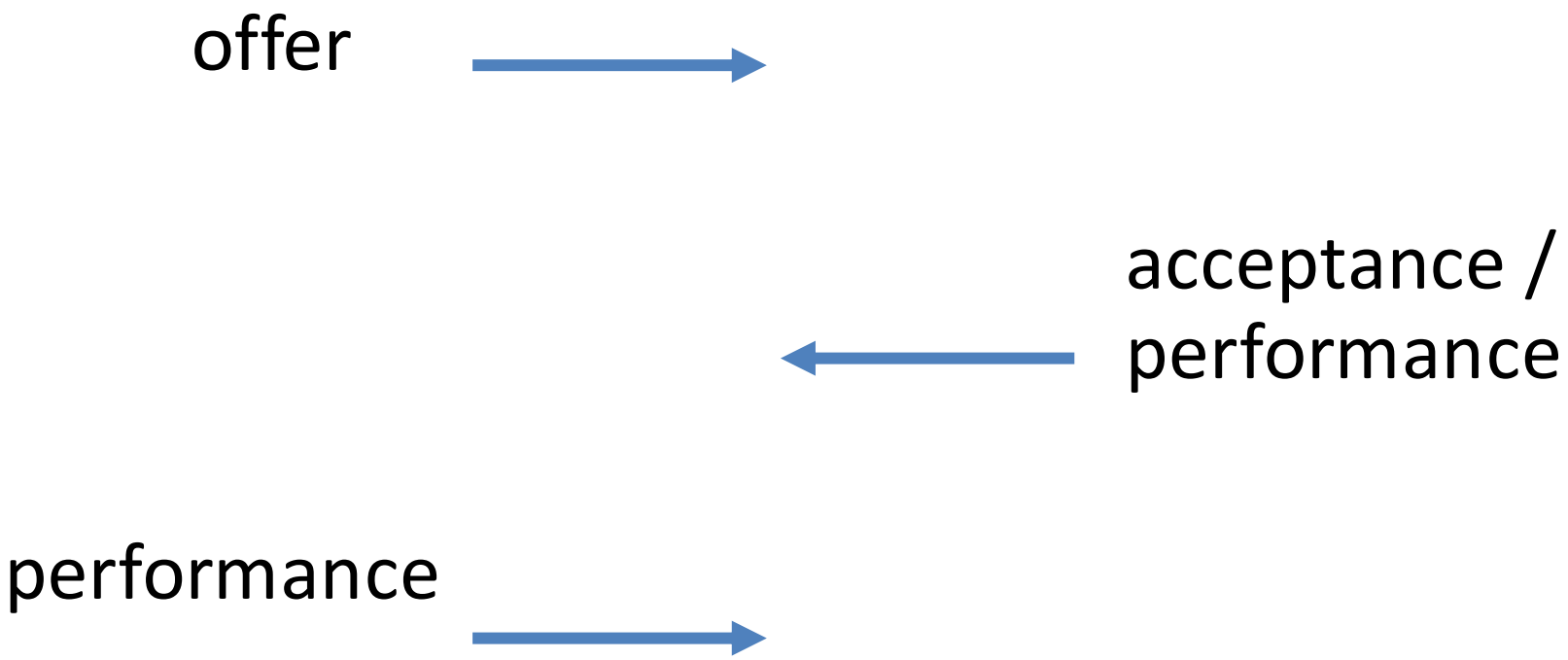
- Consciousness of the offer
- Communication of acceptance
- Methods of communication – postal, electronic
- Who wins in a battle of terms and conditions/ 'battle of the forms'?

Consciousness of the offer

For a *bilateral* contract, usually clear that acceptance is in response to offer.

For a *unilateral* contract, it can be more difficult to tell …

Unilateral contracts



The Crown v Clarke (1927) 40 CLR 227
- on appeal from the Supreme Ct of WA

- £1,000 reward for information leading to the conviction of the people who murdered two police

- the reward was an offer for a unilateral contract

- Clarke did the act identified as performance. What was his motivation?

So why was there no contract?

R v Clarke (1927) HC

Isaacs ACJ:

> Performance in [contracts of this type] is the implied method of acceptance
>
> It simultaneously effects the double purpose of acceptance and performance.
>
> But acceptance is essential to contractual obligation,
>
> because without it there is no agreement, and in the absence of agreement … there can be no contract.

R v Clarke (1927) HC

Isaacs ACJ:

> Regarded the evidence as showing Clarke had no intention of claiming the reward
>
> acceptance and performance … involve that the person accepting and performing must *act on the offer*.

R v Clarke (1927) HC

Higgins J:

Interpreted the evidence as showing Clarke had forgotten about the reward

These statements of Clarke show clearly that he did not intend to accept the offer of the Crown

Clarke did not give the information *on the faith of, or relying on*, the proclamation.

R v Clarke (1927) HC

Starke J:

Any person:

- knowing of the offer; and

- performing its conditions,

There is a factual presumption that they accept that offer.

It is an inference of fact that may be excluded by evidence.

Ordinarily, it is true, the law judges the intention of a person in making a contract by outward expression only …

R v Clarke (1927) HC

...Starke J:

> performance of the conditions is not in all cases conclusive for they may have been performed by one … who never intended to accept it.
>
> Hence the statements or conduct of the party himself uncommunicated to the other party are admissible

- What might the outcome make prisoners think about helping the police?

Communication of acceptance

The general rule is that acceptance must be communicated to be effective

Felthouse v Bindley (1862) 142 ER 1037

‘If I hear no more about him, I consider the horse mine at £30 15s’

Did the nephew intend to accept the uncle’s offer to buy the horse at £30 15s?



Felthouse v Bindley (1862) Eng

Is it possible for an offeror to bind an offeree by stating that unless they object within a certain time they are taken to be bound?

Can silence be a valid acceptance? Why?

Empirnall Holdings Pty Ltd v Machon Paull Partners Pty Ltd (1988) 14 NSWLR 523; (1988) NSW CofA

- "Mr Jury [of Empirnall] does not sign contracts"
- Can an offeree accept by conduct?
- What is the legal test?
- - Why, in practice, was it important for Machon Paull to win this case?

Empirnall Holdings

Question was: had Empirnall accepted the terms of the *written* contract?

McHugh JA:

> Since Empirnall has taken the benefit of the work with knowledge of the terms on which it was offered,
>
> an objective bystander would conclude that Empirnall had accepted the offer on those terms and condition

Empirnall Holdings

Did Empirnall ultimately communicate its acceptance of the offer?

Agreement: Elements of Acceptance

Brambles Holdings Ltd v Bathurst City Council (2001) 53 NSWLR 153

- Did the court apply the "offer and acceptance" approach?
- If so, how?
- Is there any difference between the decisions of Heydon JA and Ipp JA?

Acceptance by Conduct – *Brambles Holdings Ltd*

- 1982, Brambles contracted with Bathurst City Council (BCC) to manage BCC's Solid Waste Disposal Depot;
- 1985, Brambles started to manage liquid waste at the Depot and to charge fees on this work;
- 1 November 1989, the contract expired, and the parties were negotiating a second contract;
- 20 February 1990, BCC wrote to Brambles stating that it was appropriate for Brambles to increase liquid waste fees to a certain level (1.1 cents/litre) upon completion of a liquid waste disposal area;
- 12 July 1990, the second contract was entered into. Clauses 21 and 22 of the contract specified the fee to be charged for "general commercial waste" and required a portion of that fee to be remitted to Council;
- 19 September 1991, BCC wrote to Brambles stating that it had resolved to increase liquid waste fees and that "additional income" should be placed in a fund for the establishment of a Liquid Waste Treatment Plant; - [was this an offer?]
- 3 October 1991, Brambles responded in a letter denying the contract between them covered liquid waste. [was this a rejection?] However, Brambles continued to charge liquid waste fees at the rate set out in BCC'sletter dated 19 September 1990 and to retain the moneys; [did this constitute acceptance?]
- 1996, BCC sued Brambles in relation to the retained liquid waste fees.

Brambles Holdings v Bathurst City Council (2001) NSW CofA

Three issues:

- Was the 19 Sept 1991 letter an offer
- If so, had it been rejected by the 3 October 1991 reply
- Whether Brambles had accepted the offer through conduct.

Brambles Holdings v Bathurst City Council (2001) NSW CofA

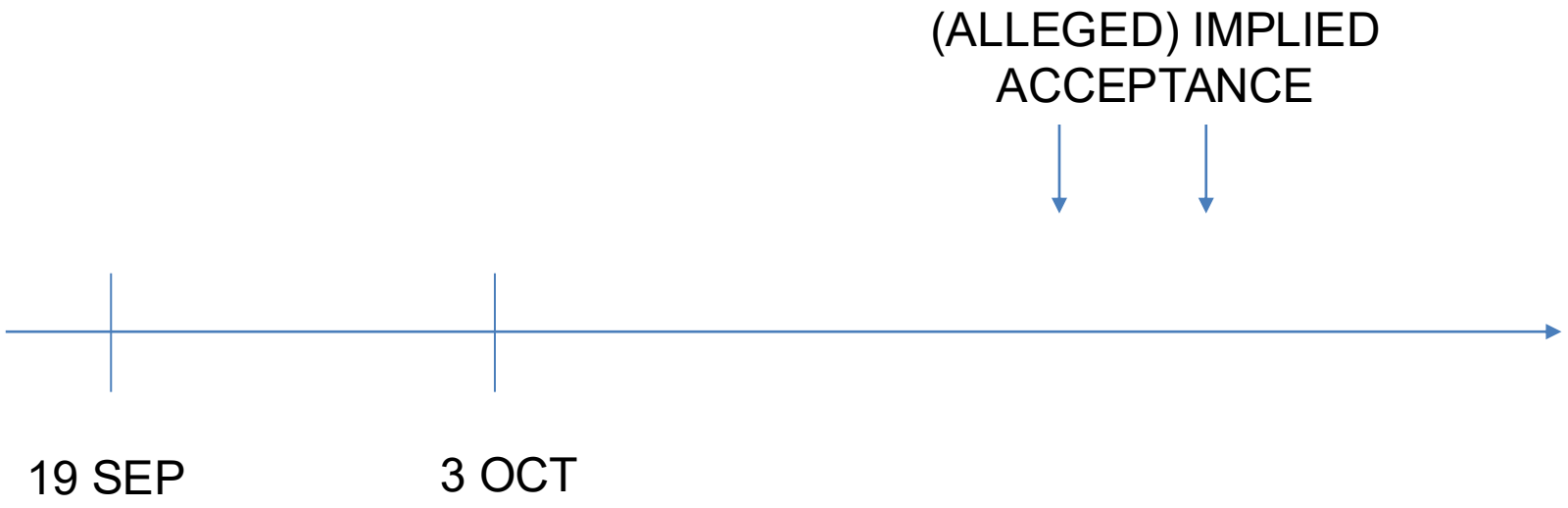
Heydon JA:

> There is much to be said for the view that the 19 September 1991 letter was not an offer ... [because to some extent it] uses the language of command. …

Brambles Holdings v Bathurst City Council (2001) NSW CofA

Why did it matter whether the 3 Oct 1991 letter was a rejection of the offer?

Brambles Holdings v Bathurst City Council (2001) NSW CofA



Brambles Holdings v Bathurst City Council (2001) NSW CofA

Heydon JA:

> [the argument that an offer, once rejected, can no longer be accepted depends] heavily on the view that offer and acceptance analysis must invariably be employed in reaching decisions about the formation of contracts.
>
> However …

Brambles Holdings v Bathurst City Council (2001) NSW CofA

Heydon JA:

> If offer and acceptance analysis is not always necessary or sufficient, principles such as the general principle that a rejection of an offer brings it to an end cannot be universal.

Brambles Holdings v Bathurst City Council (2001) NSW CofA

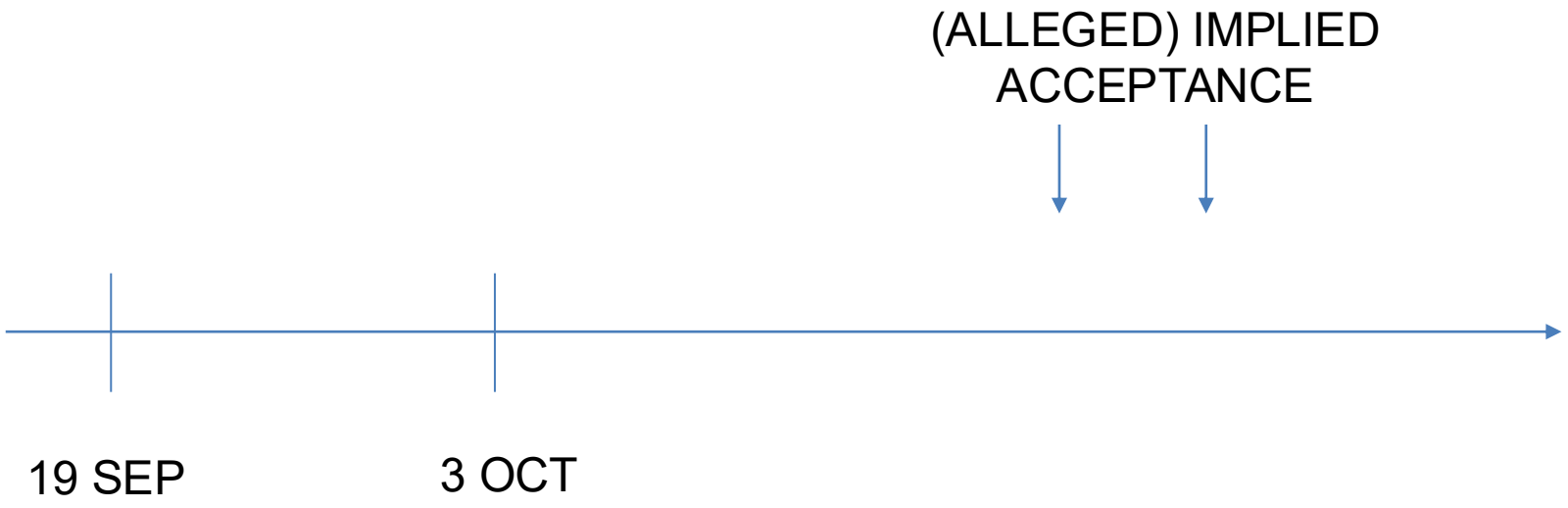
Having dealt with the rejection, Heydon JA then reverted to an offer-acceptance analysis.

Brambles Holdings v Bathurst City Council (2001) NSW CofA

Heydon JA:

> Once the Council came to learn that the defendant was charging the higher fees from October it would reasonably have thought that a contract existed between the parties on the terms of the 19 September 1991 letter. ...

Brambles Holdings v Bathurst City Council (2001) NSW CofA



Brambles Holdings v Bathurst City Council (2001) NSW CofA

Ipp JA:

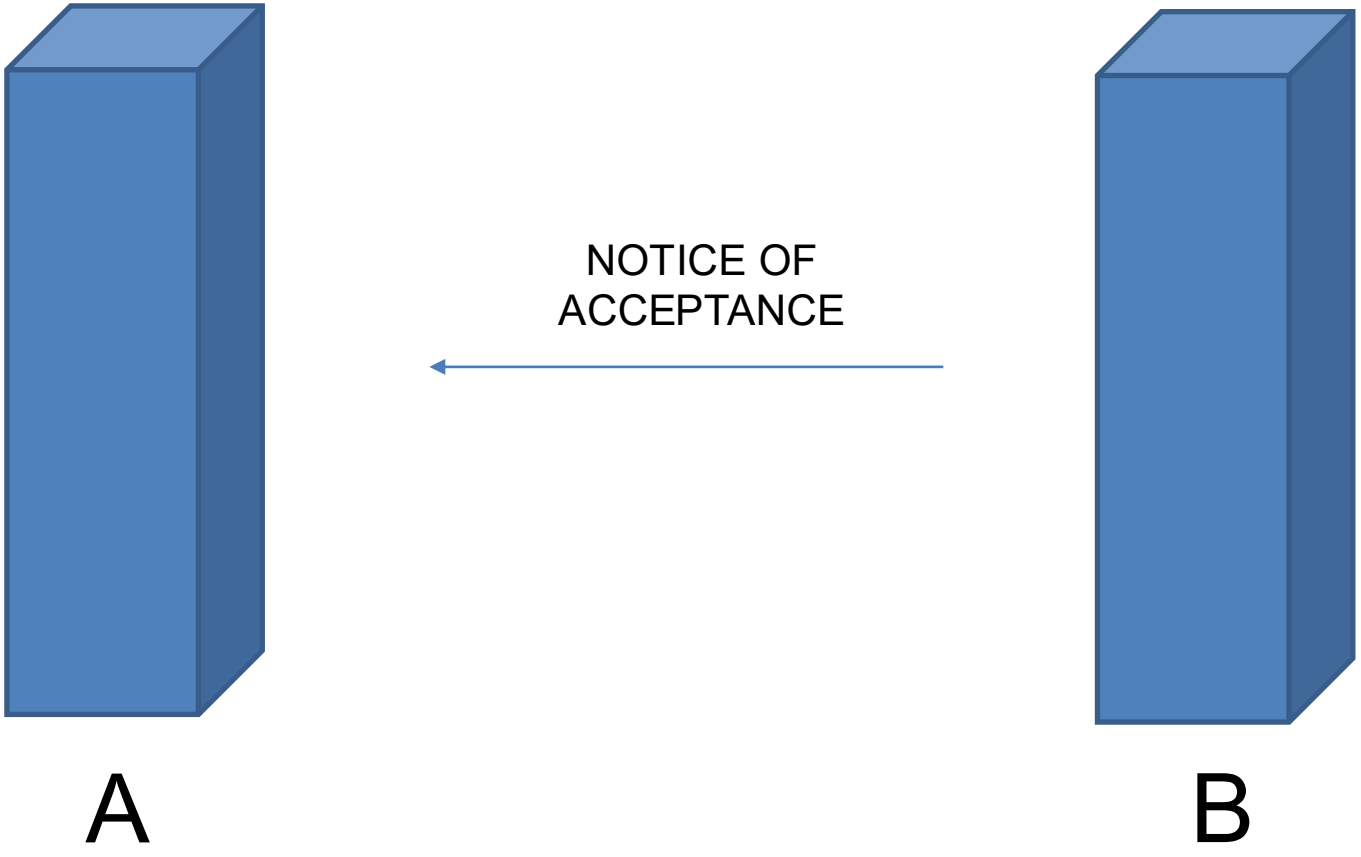
In my view, the letter of 3 October 1991 expressed dissatisfaction with the offer of 11 September 1991 and set out the appellant's argument for higher fees, but did not amount to a rejection.

Brambles Holdings v Bathurst City Council (2001) NSW CofA

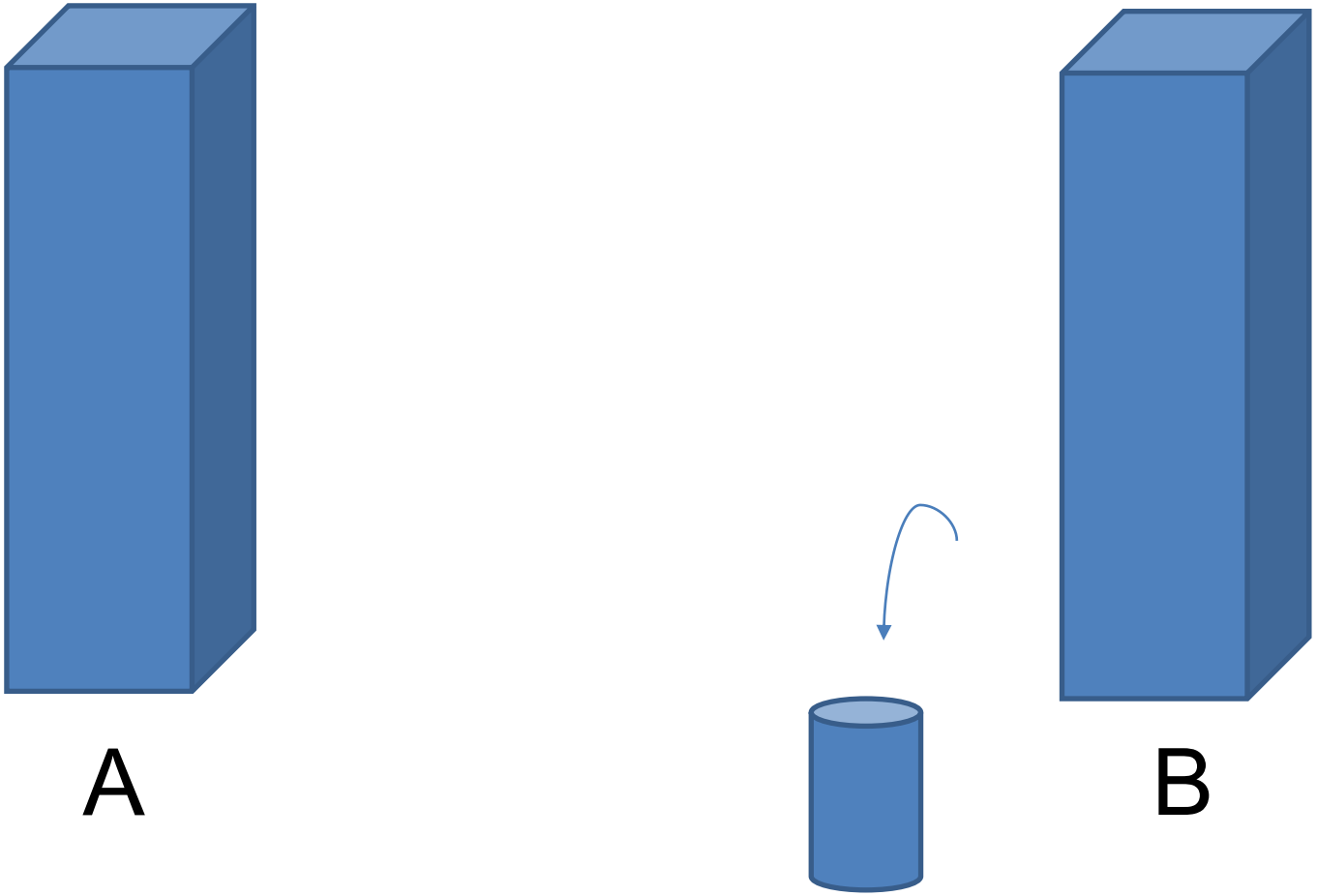
Ipp JA:

> for conduct to amount to implied acceptance of an offer, it must be "of such a character as necessarily to lead to the inference … that the agreement had been accepted … and was to be acted upon …".

Methods of communication – postal, electronic



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Broad view – per Bowen CJ in Eq in *Bressan v Squires* [1974] 2 NSWLR 460, 461-2. [Pages 86-87 of Casebook]

- Postal Acceptance Rule: Where the circumstances are such that it must have been within the contemplation of the parties that, according to the ordinary usages of mankind, the post might be used as a means of communicating the acceptance of an offer, the acceptance is complete as soon as it is posted.

  ie: all that needs to be in contemplation of the parties is the post as a possible or permitted mode [of acceptance].

Methods of communication – postal, electronic

Does the postal acceptance rule also apply to facsimiles, telexes, etc?

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellshaft [1983] 2 AC 34

- An exception to the Postal Acceptance Rule: in the case of instantaneous communication, including telex, the formation generally occurs in the place where the acceptance is received.

Brinkibon v Stahag Stahl Und Stahlwarenhandelsgesellshaft (1983) HofL



Methods of communication – postal, electronic

Electronic Transactions Act 2000 (NSW)

s 13A(1): Unless otherwise agreed, time of receipt of an electronic communication is **...**

14B Invitation to treat regarding contracts

Do not forget other key provisions in Part 2 and Part 2A of the ETA!

A battle of terms and conditions/ battle of the forms

What happens where the terms of the offer, and the terms of the acceptance, don't correspond?

And

In cases of conflicts between parties' own standard terms and conditions, what are the approaches to determining the terms of the contract?

Butler Machine Tool Co v Ex-Cell-O Corp (England) (1979) Eng CofA; [1979] 1 WLR 401

- 23 May 69: BMT provide quote of £75 535 (with T&Cs).
- 27 May 69: Ex-Cell-O Corp reply with an order (with T&Cs). Two changes to BMT's quote. Included a tear-off acknowledgement slip.
- 5 Jun 69: BMT Co completed and returned slip referring to 'revised quotation of 23 May'.

Butler Machine Tool Co

Denning LJ:

> In some cases the battle is won by the man who fires the last shot. …
>
> In some cases the battle is won by the man who gets the blow in first. …
>
> There are yet other cases where the battle depends on the shots fired on both sides.

Butler Machine Tool Co

Lawton LJ:

> The modern commercial practice of making quotations and placing orders with conditions attached, usually in small print, is indeed likely, as in this case to produce a battle of form. ...

In my judgement, the battle has to be conducted in accordance with set rules.

- Does acceptance always need to be communicated? What are the ways in which acceptance can be communicated? Can silence amount to acceptance?
- Where an offer has been rejected, is it still available for acceptance?
- With respect to offer and acceptance, do we look to the objective or subjective intention of the parties?
- What is the legal effect of a counter-offer?
- How does acceptance occur for a unilateral contract? Must there be an intention to accept?
- Can post-formation conduct be relevant to the question of whether a contract was formed?
- Does agreement always require offer and acceptance? If not, what is the test?
- What is the postal acceptance rule and when does it apply?
- How do the rules apply to electronic communications?
- What is a ‘battle of forms’ and how do we determine which terms prevail?

Adam is a cropper – he grows canola. Bea runs a factory making canola oil.

They exchange emails about Adam selling Bea 100 tons of canola at $390/ton. In their most recent email Bea writes 'Do we have a deal at $390?'. Adam writes 'Yes, agreed. Its settled'.



Bea reads Adam's email a week later.

When is the contract formed?

Would your answer differ if Adam's email was sent at 10pm on a Friday?

Sebastien wants to buy a café. Through his lawyers he receives a letter from the owners of a café in Maroubra offering to sell their business for $280,000. The letter provides all the necessary details and states that the offer will remain open until 4 pm on 20 September. It also states that if Sebastien wishes to accept the offer he should sign and return the letter.

Sebastien does his due diligence and on 19 September decides to go ahead with the purchase. Just as he signs the letter to communicate his acceptance, he receives a telephone call from the café owner advising him that they have decided to sell the café to someone else and so the offer is withdrawn.

Advise Sebastien. Would your answer be any different if Sebastien had posted the letter?